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LINE: 4

23-CIV-00632

AIXTEK, A CALIFORNIA CORPORATION VS. THE COUNTY OF SAN MATEO

AIXTEK, A CALIFORNIA CORPORATION
THE COUNTY OF SAN MATEO

JOHN PETER SHEARER
DANIEL T. MCCLOSKEY

**COUNTY OF SAN MATEO'S MOTION TO WITHDRAW STIPULATION FOR THE APPOINTMENT OF A DISCOVERY REFEREE
AND TO SET A HEARING ON THE MOTION FOR TERMINATING SANCTIONS**

TENTATIVE RULING:

Defendant/Cross-Complainant County of San Mateo's ("County") Notice of Motion and Motion for Sanctions Re Depositions of John and Patricia Eaton (the "Motion") is **CONTINUED** pending resolution of the pending appeal.

The operative Complaint alleges that Plaintiff is an information technology contractor that performed work for Defendant for more than 15 years. The Complaint further alleges that Plaintiff performed under two contracts—one for project-management-related services and another for network- and cybersecurity-related services—but Defendant breached those contracts by failing to pay for a significant portion of the services provided.

The operative First Amended Cross-Complaint ("FACC"), filed by the County against Patricia Christine Eaton and John Monroe Eaton (the "Eatons"), who are officers and directors of Plaintiff, and against Plaintiff, alleges that the County's taxpayers paid \$2 million to Cross-Defendants to connect the County's buildings with fiber-optic cable but received nothing for that investment. Cross-Defendants allegedly claimed that the fiber-optic cable had been connected when it had not. After a new Chief Security Officer ("CSO") took over the County's Information Services Department ("ISD") at the end of 2021, the CSO initiated an audit to map the County's network infrastructure, including its fiber-optic lines. ISD staff searched for the fiber-optic lines that Plaintiff was paid to install but did not find a single one. When confronted, Cross-Defendants allegedly made shifting excuses and failed to provide an explanation for their failure to provide the contracted-for services.

The Court appointed a Discovery Referee by order signed on June 3, 2025, and filed on June 9, 2025. On April 22, 2026, the Discovery Referee issued the Discovery Referee's Statement of Decision Re: County's Motion for Sanctions Re Depositions of John and Patricia Eaton (the "Statement of Decision"). After reviewing "all pleadings, all declarations, the seventy exhibits attached to the Motion, the Opposition with declarations, and the Reply and the Sur Reply, along with subsequent declarations," the Discovery Referee granted in part the County's motion to sanction Cross-Defendants John Eaton and Patricia Eaton and their counsel for discovery abuses, including the Eatons' failure to appear for deposition. (Statement of Decision, 1:7-9 & 6:1-13.) The Discovery Referee awarded \$21,612 in monetary sanctions but declined to strike Cross-Defendants' Answer to the FACC because that relief would result in a judgment on the FACC, which "should be the purview of the Judge supervising this case." (Id., 6:3-4.)

A Notice of Appeal filed on June 23, 2026 states that the appeal is from "[o]nly the monetary sanctions part against the filing counsel only[.]" The Court filed a Notice of Filing of Appeal on June 26, 2026.

On February 24, 2026, the County filed in this action the Motion, which appears to be the same motion presented to the Discovery Referee, as are the other accompanying papers, including the Proposed Order. The County also filed a Reply

in this action on March 23, 2026. Through April 7, 2026, the County continued to file additional declarations in support of the Motion, which, as noted above, were considered by the Discovery Referee.

The Reply appears to quote from the Opposition, but the quoted language does not appear in the Opposition. Nor does a Declaration of Peter Shearer in Opposition, which the Reply references, appear in the Court's record. (See, e.g., Reply, 1:24-25, 2:22-23, 2:28 n.1 & 4:14-16.) In fact, the Opposition was filed on June 23, 2026, three months after the March 23, 2026 Reply. No reply to the Opposition appears in the Court's records.

By the Motion, the County asks the Discovery Referee, and now the Court, to strike Cross-Defendants' Answer to the FACC and to award monetary sanctions against Cross-Defendants and their counsel.

Because the appealed monetary-sanctions order exceeds \$5,000, it is appealable. (Code Civ. Proc., § 904.1, subd. (a)(12).) The perfecting of an appeal stays trial-court proceedings on the order appealed from and on matters embraced in or affected by that order, although the Court may proceed on matters not affected by the appeal. (Code Civ. Proc., § 916, subd. (a).) Here, the monetary-sanctions issue is part of the Motion and is now on appeal. Accordingly, the Court **CONTINUES** the hearing on the Motion pending resolution of the appeal.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the County shall prepare for the Court's signature a written order consistent with this ruling, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE: 5

23-CIV-04358

DONALD V. RYAN VS. DOUGLAS J. RYAN, ET AL

DONALD V. RYAN
DOUGLAS J. RYAN

KATHLEEN E. FINNERTY
THOMAS C TAGLIARINI

DEFENDANT DOUGLAS RYAN’S MOTION REQUESTING AN ORDER REGARDING DISTRIBUTION OF SALE PROCEEDS AND RELATED RELIEF [CCP 873.820, 873.850]

TENTATIVE RULING:

Defendant Douglas J. Ryan’s Motion Requesting an Order Regarding Distribution of Sale Proceeds and Related Relief is **DROPPED AS MOOT**.

This is a partition action concerning real property located at 1735 Crockett Lane in Hillsborough, California (the “property”). Plaintiff Donald V. Ryan (“Donald”) and Defendant Douglas J. Ryan (“Douglas”) are siblings. Donald and Douglas each hold an undivided one-seventh interest as tenants in common, along with five other siblings: Barbara E. Poole, Margaret A. Ryan, Michael D. Ryan, Richard J. Ryan, and Roberta L. Ryan. The Court granted Donald’s motion for interlocutory judgment of partition on May 12, 2025, and entered the Interlocutory Judgment on June 4, 2025. On May 7, 2026, the Court denied without prejudice Michael D. Ryan’s and Douglas’s prior motion regarding distribution of sale proceeds.

On May 13, 2026, Douglas filed the present motion. Douglas seeks an order permitting the sale proceeds allocable to all co-owners other than Donald to be distributed through escrow in the ordinary course, while Donald’s allocable share is deposited into the Barbara W. Ryan Revocable Trust or, alternatively, held in escrow pending further order.

After Douglas filed this motion, the Court granted in part Douglas’s ex parte application on May 15, 2026. The May 15, 2026 order provides that the sale may proceed; proceeds allocable to co-owners other than Donald may be distributed through escrow in the ordinary course, subject to customary costs, charges, liens, and closing adjustments; and Donald’s allocable share shall be deposited into an interest-bearing blocked escrow or other neutral account pending further order. (May 15, 2026 Order.) The Court also stated that it was not finally adjudicating any party’s claims, defenses, offsets, credits, reimbursement claims, contribution claims, trust claims, or arguments concerning the validity, enforceability, or scope of the alleged agreements. (Ibid.)

The Court then signed an Amended Order on Douglas’s Motion Authorizing Sale of Real Property and Directing the Disposition of Proceeds on June 9, 2026. That order directs escrow to disburse the net sale proceeds to a Schwab interest-bearing account requiring the signatures of both Donald’s attorney and Douglas’s attorney for any withdrawals. (June 9, 2026 Order, ¶ 7.) Thus, the Court has already addressed the disposition of proceeds requested by this motion, including the treatment of Donald’s allocable share. Nothing remains to be decided on the pending motion. The motion is therefore **DROPPED AS MOOT**.

To the extent the parties’ supplemental papers address whether Douglas’s or Michael’s share of the sale proceeds should be withheld, that issue is not properly before the Court. Donald first raised that request in a supplemental opposition filed on June 18, 2026. The Court did not authorize supplemental briefing on this motion. Even if the Court considered the supplemental papers, no noticed motion has been filed and served seeking an order withholding Douglas’s or Michael’s allocable share. Accordingly, the Court does not reach that issue.
